

1. Introduction

Spring Food Limited seeks £400,000 on Crowdcube at a £2.5m pre-money valuation, having outgrown its current production facility. This report evaluates the proposition across four dimensions; Opportunity, Scalability, Execution, and Return. The report will conclude whether the deal merits investor capital.

2. Opportunity

An important question every business needs to ask itself is can it provide products or services that people genuinely need for good value that they cannot easily get elsewhere.

2.1 The Problem and the Product

The mainstream soup and stock market struggles to serve consumers seeking healthy food. Stock cubes from Oxo, Knorr and Bisto are salt-heavy, heavily processed, and lack nutritional value. Mass-market soups are closer substitutes but use reconstituted stock rather than slow-cooked bones and vegetables. For consumers valuing collagen, gut health and natural protein, the mainstream market lacks a credible answer.

Table A1 reinforces the gap. Mainstream soup and stock products are heavily processed with low protein per 100g. While positioned as convenient and affordable, the cost per gram of protein tells a different story; on a nutritional basis, Spring sits closer to its competitors than the headline price would imply.

Spring's bone broths address the imbalance directly: whole ingredients, traditional slow cooking, higher protein, lower salt, minimal processing. The elevated price reflects functional value, not convenience.

Spring's offering is a credible response to a real gap. Whether that response holds against established broth-focused competitors is a question that is examined in turn.

2.2 Consumers Attitudes Towards Bone Broth

The best evidence of a product's value is not what the founders say about it, but instead how the consumers engage with it. Here, the evidence in *Appendix C (demand signals)* is encouraging. What the evidence doesn't show us however, is how much of this demand accrues specifically to Spring, rather than to the category as a whole. When a rising tide lifts all boats, strong revenue growth can reflect market forces as much as competitive strength. A point to which this analysis will return.

2.3 The Question of Defensibility

Freja Broth, the category's revenue leader, has openly conceded that it competes against "products easily as good as ours" (Gilmour, 2024). The wider market, examined in *Appendix B*, lends weight to this admission.

Spring's premium offering leads the field on protein density, and its glass packaging carries a weight competitors' cartons and pouches do not. Beyond that, the differences narrow. On price-per-protein, four of the six competitors outclass Spring. On taste, only Freja and Borough also hold *Great Taste Awards* for their bone broth, placing Spring alongside its closest rivals, not above them. Setting aside Oxo and Kallo as deliberate budget options, the field is closer than the pitch deck implies. However, *Spring's Core Collection* must be flagged as being a step behind the rivals it would meet on the mass-retail shelf.

If the field is this close on the measures examined, it is unlikely that competition will be based solely on the product. Instead, this report predicts that the shelves it reaches, the breadth of the range, and the marketing strategy deployed will carry competition. Section 3.2 returns to this point.

3 Scalability

Scalability rests on three questions: can revenues outgrow costs, can the market support the growth and can Spring execute at scale. On each, the answer is mixed.

3.1 Market Potential

The UK bone broth and soup market is estimated at £528.91m, the total addressable market (TAM) for Spring. TAM by itself tells us little. The more useful question concerns Spring's share of the estimated £20m UK bone broth segment, where Spring represents 4.3% of the market.

Three scenarios were modelled to estimate Spring's 2029 revenue. The arithmetic, for the most part, does not support Spring's projections. The conservative case implies 2029 revenues of £2.11m. The base case lands at £4.41m. Only the bullish case clears the published £6.75m target, at £7.46m. The full workings are set out in *Appendix C*.

Graham's counsel is intuitive here. Rapid growth is inherently difficult to sustain, and early surges in demand are not necessarily signals for long-term compounding growth (Graham, 2013). Spring's projection requires both sustained category growth and noticeable growth in their segment share, assumptions which must be completed together to get the final result. *Table C4* visualises this, as only the bullish-bullish combination yields a result above the projection made within the pitch deck, a combination a careful investor would decline.

The base case is therefore the most probable outcome on present calculations.

3.2 Competitive Intensity

The retail environment in which it competes seemingly is the binding constraint. Spring's premium positioning has won shelf space at M&S, Ocado, Whole Foods and Fortnum & Masons. Competitors are instead positioned in the likes of; Tesco's, Sainsburys, Waitrose that account for the bulk of category volume. The importance of this distribution to Spring's growth is underscored by its own performance, where the company saw a 45% increase in revenues after being listed in the channels named above. This distinction is clear, growth comes from where the product is, instead of incremental performance within existing channels. Six mass-market retailers account for 80% of UK grocery sales, and currently, Spring sits outside that set. More details in *Appendix E*.

Spring is not currently positioned in the channels where Freja and Borough are growing. The binding constraint is operational rather than commercial; chilled production at the current site cannot meet the volumes those channels demand. The larger factory and ambient capability are the company's stated route to retiring that constraint, and that route is examined in turn. Mass-retail bone broth, however, is already well established, meaning an entry into markets which are already saturated will not be a simple task. It is also important to note that Spring's products remain untested within these channels, which is a risk explored further in *Section 4.1*.

3.3 Product Scalability and Milestone Logic

The TRL/MRL framework applied in *Appendix D* reveals a business operating across two distinct readiness profiles. Spring's chilled line sits in the Investment Ready quadrant, the ambient line sits within the *Valley of Death*.

The credibility that justifies the £2.5m pre-money valuation belongs to the chilled line; a proven product, in established retail, generating £851k in revenue. Spring's valuation appears anchored to what it already has, not to what it intends to build. The milestone logic, detailed in *Appendix F*, describes a business in transition. Therefore, caution is advised: the investor is being asked to fund a Valley of Death transition at a price that reflects an investment-ready business. *Section 5.1* explores the idea of overvaluation in more detail.

4. Execution

The preceding analysis leaves the verdict of a company in equilibrium, a credible opportunity with unresolved risks. Execution decides which side the analysis leans towards.

4.1 Go-to-market Strategy and Commercial Readiness

The projected reduction in processing and distribution costs is too large to be incremental efficiency; it signals an intended shift to ambience as the main form of processing. The £100,000 marketing budget, however, is too small to support a meaningful entry into a saturated category.

Consumer food brands entering competitive retail categories typically allocate 20–40% of projected first-year revenue to marketing (Lacy, 2025). Against Spring's own 2027 revenue projection of £2.3m, where mass-market push is estimated to start (*Table F1*), the lower bound implies a marketing requirement of circa £460,000, four times the budget allocated. Issues associated with this are explored in 4.4.

The marketing strategy is also vague on the harder commercial question. Section 2.1 established that bone broth carries a category-level premium over mainstream stocks and soups, and Freja and Borough have proved consumers will pay it in ambient at mass-retail scale. Spring has positioned itself in the more premium segment of the category without a clear nutritional or taste advantage to justify that position. How the company intends on addressing this issue is not made clear. Spring must, however, ensure that the existing customer base, which early milestones aim to grow, is not alienated if the company has to change their offering to suit mass retail.

4.2 Team Composition and Founder-Market Fit

As detailed in *Table G1*, the advisory bench is strong; each member brings genuine depth in their respective disciplines. Two observations follow.

Firstly, the paradox of success, that often shadows founder-CEOs, may apply here. Pryor's premium-luxury instincts built Spring's current position; those same instincts may resist the disciplines that mass-market entry demands (Wasserman, 2012).

Secondly, Hague's Freja Broth experience is the teams' sharpest competitive asset, but is also a likely source of internal tension. Freja's commercial playbook is more aggressive on price and shelf velocity than Spring's current business model and thesis.

Credentials of this calibre establish potential rather than proof, whether these names have established the ability to work together as a team, the materials do not say. The bench is strong, what remains untested is whether that strength translates into a working unit.

4.3 Financial Quality

Spring's current unit economics imply a starting gross margin of 25–30%, intentionally below the 40–60% benchmark expected in the consumer food sector (Charter, 2026). After applying more conservative reductions to labour and processing, the reconstructed cost model yields gross margins of 49–52%. More details in *Appendix H*. As such, the predicted 62% gross margin in 2029 appears plausible, though optimistic, and converges towards industry benchmarks.

Spring's £851,744 revenue is generated almost entirely through premium and independent channels, structurally suited to the chilled offering, but inadequate for the 7x scale-up the 2029 projection requires. The required channel composition is set out in *Table I2*. As argued in 4.1, breaking into mass-market grocery is rarely swift or linear; and on that basis, the base revenue case identified in 3.1 is the more probable one.

4.4 Funding Strategy

The funding ask was evaluated against three pillars: milestone logic, risk retirement logic and amount logic (Venture, 2025). Milestone logic was addressed in section 3.3, and follows a defensible pathway.

The risk retirement argument is partial. Spring will reach the £1.0–1.2m capacity ceiling on its existing channels alone; the factory move and £400k investment will retire that constraint and unlock the ambient processing capabilities. They do not, however, retire the commercial and positioning risks identified throughout this report. The raise may build the factory that facilitates growth, but it does not prove that the products coming out of said factory will sell at the volume Spring needs.

The amount logic is the weakest pillar. Whether the 400k carries Spring through the milestones in *Appendix F* is unclear. The ask passes the runway test, as the use of funds synthesises with the required capital expenditure. However, the 100k marketing budget is not covered by the 400k raise, and the operating profit that might otherwise close the gap is uncertain. Spring's own profitability assumptions rely on revenue assumptions, which 3.1 has already shown to be bullish. As such, operating cash for marketing is unlikely to arrive before 2028 even on a generous reading. The risk of undercapitalisation is therefore real, and since Spring operates in the growth and expansion stage, the cost will be disproportionately higher compared to a company operating within a different stage. A second raise becomes increasingly probable. 5.2 returns to the implications of dilution for early investors.

5. Return

The preceding analysis has asked whether Spring is a good business. The following analysis asks whether Spring is a good investment.

5.1 Valuation

The VC method is applied using a revenue multiple over a profit multiple; since Spring is a loss making company and mid transition, any forward earnings forecast would invite guesswork rather than assumptions. These scenarios are constructed in *Table J1*, yielding present values of £105,500, £470,400 and £1,492,000 against an asking price of £2,500,000.

The valuation embeds no margin of safety. Graham's principle holds that uncertainty demands a buffer between price and intrinsic value, with the buffer scaling with uncertainty (Graham, 2013). The uncertainty around Spring is substantial; loss making, pre-transition, dependent on transformation milestones not yet begun, and yet even the most optimistic valuation scenario in *Appendix J1* falls below the asking price. By Graham's standard, the investor is being asked to pay a price that not only lacks the buffer his principle requires, but assumes milestones have already been delivered.

5.2 Cap Table Implications

The cap table analysis, present in *Appendix K*, yields two findings.

Firstly, at £2.5m pre-money, a 160,000 investment purchases approximately 6.04% of the company. The investor bears full early-stage risk while remaining dependent on founders' decisions for strategy and capital allocation.

Secondly, the elevated entry price caps the return ceiling. Even under the bullish scenario in which Spring hits all six milestones, the 6.04% stake against the 2029 exit value returns £901,168, a multiple of 5.63x, well short of the 10x VC benchmark. A probability-weighted EIS-return scenario of 2.01x (*Table J3*) confirms the shortfall. Furthermore, given the probable outcome of a second raise, based on the amount of logic concerns of 4.4, dilution would only compound the gap further.

5.3 Deal Terms

The purpose of a deal structure is to align incentives, reduce information asymmetry and limit opportunistic behaviour (BIMA, 2025). Spring's terms perform poorly against this standard.

The primary concern is governance. Spring operates with a single director, with the term sheet requiring a 25% holding to appoint another, only Pryor meets that threshold. In daily operation, the founder-CEO paradox identified in 4.2 is compounded, leaving no mechanism through which an investor can challenge Pryor's decisions. In an acquisition, a probable outcome given Spring's profile as a premium brand with strong retail relationships, a founder with majority control can agree to a price that returns less than the investor's capital, with no structural response available to ordinary shareholders.

The absence of preferred stock compounds the exposure. Ordinary shares carry no liquidation preference, no anti-dilution, no participating feature, and rank behind £243,900 of senior debt in insolvency. However, tag-along and pre-emption provide modest protection. EIS relief reduces the downside but does not resolve the misalignment in the term sheet itself.

5.4 Expected Return

The expected return analysis is set out in *Table J2*. Spring's bullish exit yields an 8.05x return at 51.7% IRR, the base case yields 2.66x at 30.6% annualised. EIS reduces the real cost of entry to £112,000, but does not change the picture. Private equity is inherently risky, with over 50% of investors losing all of their money (Brown et al., 2020), providing an explanation as to why the 10-20x benchmark exists. Spring's probability weighted 2.01x return falls well short of that benchmark.

5.5 Investor Fit and Deal Attractiveness

Spring is not a bad business. The opportunity is real, the product is credible, and the milestone logic coherent. The question is, if Spring succeeds, is the return sufficient enough to justify the risks inherent in Spring as a venture? From the analysis, two different investor profiles emerge.

The crowdcube investors are paying a growth-stage price for a sub-venture return. The EIS relief reduces effective entry to £112,000, limiting the downside exposure, but still leaves no margin of safety for the investor. At this entry price, the investor bears full early-stage risk, lacks governance leverage and is dependent on a founder's decision they cannot influence. The deal asks the investor to pay for what Spring may become, while bearing the cost of what it is currently not.

Rushton, the lead investor, sees a different side to this pitch. As part of Thoroughgood, a £40m+ trading company in premium food and distribution, they face a different objective function from a financial investor, accepting lower financial returns in exchange for complementarities with their existing business such as supply-chain access or acquisition optionality (Hellmann, 2002). Their lead position should not be taken as a signal for the crowdcube investor, whose return profile is structurally different.

For Rushtons, the deal is sensible. For the crowdcube investor, it is coherent but not compelling.

6. Conclusion

Spring is a credible business at an indefensible price. The product is real, the category is growing and the team is competent. However, the valuation is materially overstated, the deal terms offer no structural protection, and the probability-weighted return falls short of any reasonable benchmark. The financial investor should decline.

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N.B. → Any numbers without a reference, which is not a calculation, comes from the moodle materials provided.

8. Appendix

Appendix A

Purpose: How Bone Broth compares to competing product types. Shows the gap that Bone Broth fills in the market.

Table A1

Product	Protein (g/100g)	Price (£/100g)	£ / g Protein	Salt (g/100g)	Processin g Level
Heinz Classic Beef Soup	1.9	0.425	0.22	0.60	Ultra-proces sed
Baxters Luxury Beef Consommé	3.0	0.675	0.225	0.73	Highly processed
Oxo Signature Beef Stock	1.3	0.50	0.38	0.86	Ultra-proces sed
Spring Beef Bone Broth	5.1	2.36	0.46	0.21	Minimally processed

- Source: Ocado

Appendix B

Purpose: Shows the competitive landscape of the bone broth category in the UK.

Table B1

Brand	Format	Key Retail Listings	Product Breadth	Price (£/100g)	Flavors
Spring (Spring, 2026)	Chilled/Ambient	M&S, Ocado, (Whole Foods) (Fortnum & Mason)	Bone broth Bone broth x soup.	£2.36	5

Borough (Comp B in pitch deck) Great Taste Award (Borough, 2026)	Chilled	Waitrose, Tesco, Sainsbury's, Ocado, Amazon (Whole Foods) (Planet Organic)	Bone broth, Noodle soup bases, Low FODMAP, Frozen Broth cubes	£1.54	5
Freja (Comp A in pitch deck) Great Taste Award (Freja, 2026)	Ambient	Waitrose, Tesco, Sainsbury's, Ocado, Amazon (Whole Foods) (Holland & Barrett) (Selfridges)	Sipping Bone Broth, Instant Bone Broth, Bone Broth Protein, Cooking Bone broth	£1.40	6
Ossa (Ossa, 2026)	Ambient/Frozen	Amazon (Planet Organic)	Organic Bone Broth (produces other product than bone broth)	£2.70	5
Daylesford (Daylesford, 2026)	Chilled	M&S, Ocado (Abel & Cole)	Organic Bone Broth (very wide variety of products - probably not even 5% of revenues)	£1.36	5
Oxo (OXO, 2026)	Ambient	Tesco, ASDA, Sainsbury's, Amazon	Bone Broth (very wide variety of products - probably not even 5% of revenues)	£0.75	2
Kallo (Kallo, 2026)	Ambient	Waitrose, Tesco, ASDA, Morrisons	Organic Bone Broth (very wide variety of products - probably not even 5% of revenues)	£0.60	2

- 1:1 ratio used to convert ml to g given the consistency of bone broth. Some brands only listed products in ml
- All Information from company's websites

Table B2

Brand	Protein (g/100)	Price (£/100g)	£ per g of Protein	Packaging	Provenance
Spring	5.1g	£2.36	0.46	Glass	British, grass fed and hormone free
Borough	4.3g	£1.54	0.36	Plastic Pouch	Organic - grass-fed cows,

					GMO fee.
Freja	4.9g	£1.40	0.29	Carton	Norwegian Beef (grass-fed, hormone and GMO-free).
Ossa	3.0g	£2.70	0.93	Glass	Organic
Daylesford	2.2g	£1.36	0.75	BPA-Free Plastic	Organic
Oxo	3.6g	£0.75	0.20	Carton	British Beef
Kallo	2.2g	£0.60	0.27	Carton	-
Spring Core Collection	2.4g	1.30	0.54	Glass	100% British Grass Fed.

- To ensure comparability, Beef Bone Broth was used to standardise protein value per 100 as levels may vary across different flavours
- Spring core collection taken from claims from pitch deck.
- Ossa and Daylesford had different prices across ranges, thus a new calc was needed to isolate beef
- Discrepancies exist between these values and Spring's when it comes to protein and £/G of protein.

Appendix C

Purpose: Three different TAM,SAM,SOM scenarios to test Spring's revenue projections.

Total Addressable Market = £528.91m - for bone broth and soup

SAM Prediction

Table C1

Company	2024 Revenue
Freja Broth	£6.00m
Borough Bone Broth	£3.98m
Spring Food Limited	£0.85m
Top three subtotal	£10.85m
Implied total SAM (top three ~ 50%)	≈ £20m

Assumptions

- Freja broth themselves said they believe the industry is worth £20m
- If three brands' revenues equals half of this prediction, it is safe to assume this is the reality of the SAM.

Demand Signals

The category is supported by genuine consumer-side momentum:

- UK Google searches for bone broth up 163% over recent years (JohnLewis, 2024)
- Approximately 300 million views on TikTok under #bonebroth
- Amazon UK bone broth annual sales of approximately £2 million
- Borough Bone Broth recorded a 50% sales increase in Waitrose over three months (JohnLewis, 2024)
- Freja Broth included in the Alantra Food and Beverage Fast 40, growing approximately 200% year-on-year (Gilmour, 2024)
- Bone broth aligns with sustained consumer trends in gut health, collagen, natural protein, and minimally processed foods
- Spring predicts a 50% CAGR (from pitch deck), but global trends for the bone broth market are significantly lower, predicting a 5.93% (SphericalInsights, 2023) CAGR between (2025-2035). Spring's prediction comes without a timeframe or assumptions, and cannot be taken at face value.

SAM Scenarios

Conservative Scenario (12% CAGR)

The current demand surge reflects a wellness-driven boom that will normalise toward the global soup and broth forecast of approximately 5–6% CAGR. UK growth runs hotter than global in the near term but converges toward the global rate by 2029, producing an effective UK CAGR of approximately 12% across the five-year forecast window.

$$\text{SAM}(2029) = £20\text{m} \times (1.12)^5 = £35.25\text{m}$$

Base Scenario (16% CAGR)

The base case sits at the midpoint of the conservative and bullish scenarios, reflecting partial normalisation rather than full convergence to the global rate. CAGR is held at 16% across the forecast window.

$$\text{SAM}(2029) = £20\text{m} \times (1.16)^5 = £42.01\text{m}$$

Bullish Scenario (20% CAGR)

The wellness trends underpinning the category ; gut health, collagen, natural protein, represent a structural shift in consumer preferences rather than a fashion (Crowdcube, 2026). Growth continues to compound at the elevated UK rate observed in recent years. CAGR is held at 20% across the forecast window to 2029.

$$\text{SAM}(2029) = £20\text{m} \times (1.20)^5 = £49.77\text{m}$$

Table C2

Scenario	CAGR (2024–2029)	2029 SAM
Conservative	12%	£35.25m
Base	16%	£42.01m
Bullish	20%	£49.77m

SOM Signals

- Spring launched in Marks & Spencer, Ocado, Whole Foods Market and Fortnum & Mason in 2024, recording a 45% increase in revenue
- 2023 Great Taste Award
- 63% year-on-year increase in retail listings.
- Competitors are currently better positioned in higher-traffic supermarkets; Tesco's, Sainsbury's, Waitrose. As SAM grows towards 2029, competitors are likely to capture disproportionately more share from their distribution base, that is if Spring doesn't change its distribution channels.

SOM Scenarios

Conservative Share (6%)

Leading brands are better positioned and outperforming Spring on present evidence. Spring's ability to capture additional share will be constrained by competitor scale, retailer relationships, and Spring's own premium positioning. This scenario assumes that Spring will be mostly unsuccessful in pushing their product into mass-market retail. Share of 2029 SAM is held at 6%, modestly above current 4.3%.

Base Share (10.5%)

The base case sits at the midpoint of the conservative and bullish share assumptions. Milestones 5 is fulfilled, but Milestone 6 is not fulfilled to the extent required by the revenue model (Appendix H). Share of 2029 SAM is held at 10.5%.

Bullish Share (15%)

Demand for the category continues, compounded by Spring reaching Milestones 5 and 6, which will massively boost revenues. The share of 2029 SAM is predicted to be 15% if this scenario is true.

Revenue Projections in 2029

Table C3

Scenario	2029 SAM	Spring share	Implied 2029 revenue
Conservative	£35.25m	6%	£2.11m
Base	£42.01m	10.5%	£4.41m
Bullish	£49.77m	15%	£7.46m

Mismatched Scenarios – When Growth and Share Assumptions Diverge

Table C4

Scenarios	Conservative share (6%)	Base share (10.5%)	Bullish share (15%)
Conservative growth (£35.25m SAM)	£2.11m	£3.70m	£5.29m
Base growth (£42.01m SAM)	£2.52m	£4.41m	£6.30m
Bullish growth (£49.77m SAM)	£2.99m	£5.23m	£7.46m

Appendix D

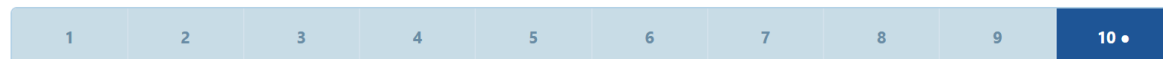
Purpose: Technology and manufacturing readiness of Spring as a business

CHILLED LINE

Technology Readiness Level (TRL) — Chilled



Manufacturing Readiness Level (MRL) — Chilled



Assumptions (*Investment ready*)

- Proven revenue figures
- Contracts with established mass retail
- Great taste award

Figure D2

AMBIENT LINE

Technology Readiness Level (TRL) — Ambient

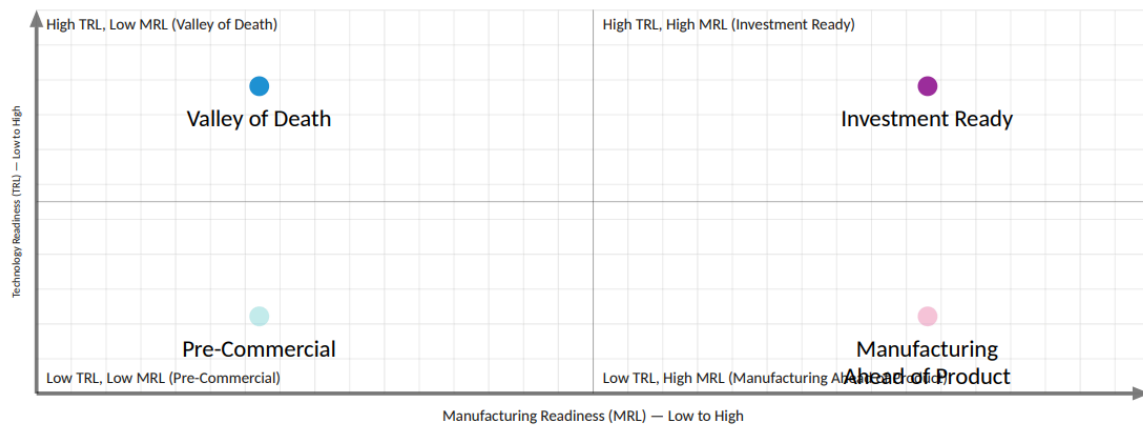


Manufacturing Readiness Level (MRL) — Ambient



Assumptions (*Valley of Death*)

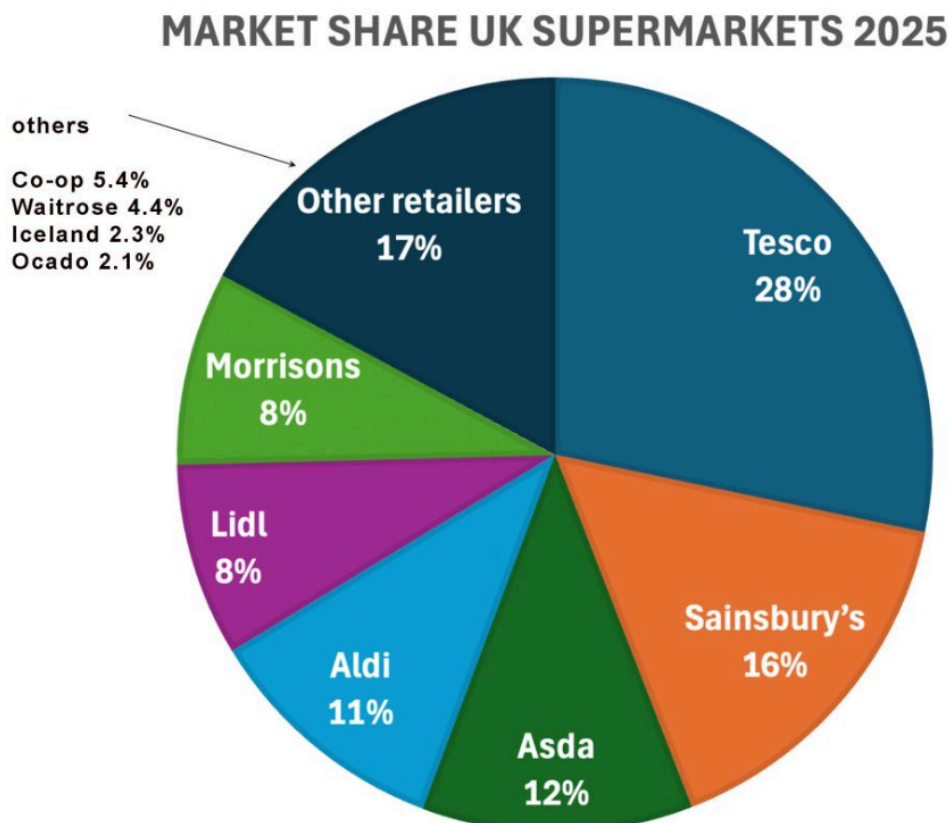
- In partnership with *The Food Incubator*, Spring has gained the technological capabilities to make their products ambient. N.B. This website has said this range is available at two retailers; M&S and Bayley & Sage. Bayley & Sage has not got Spring broth listed on their website, and the two M&S shops in Bath also do not stock this product. In general, the ambient variation of Spring is hard to find, which leads us to assume that manufacturing readiness has the attributes of “5”. Spring’s investment thesis seems to lie in their abilities in operationalising an ambient range alongside the chilled offerings. The article is a promising signal of their ability, and the supposed deployment of this ambient range already suggests that the constraints come from the manufacturing readiness instead of the technology readiness (TheFoodIncubator, 2024).



Appendix E

Purpose: Showcases the competitive intensity of the UK grocery market, while also showing the importance of being positioned in the correct areas of the grocery market.

Figure E1



Source: Economicshelp, 2025

Comments

In the main text, the 80% statistic was used to show the importance of mass retail. Tesco's, Sainsbury's, Asda, Morrisons, Aldi and Lidl collectively make up 80% of the grocery market in the UK (CMA, 2024).

- Borough Broth was founded in 2015, and in 2024 achieve £3.98m turnover (Borough, 2024)
- Freja Broth was founded in **March 2020** and in 2024 achieved **£6 million** in turnover (Gilmour, 2024)
- Spring Food Ltd was founded in 2017 and in 2024 achieved £851,744 in turnover.

The above statistics offer a perspective as to why Spring has such slow revenue growth compared to the two largest competitors. One can only speculate about Spring's potential growth if they were to be positioned better in mass retail.

M&S, with Ocado also factored into the figure, has 4.5% share. This is still a fraction of the giants within the industry (Metropolis, 2026)

Appendix F

Purpose: A visualisation built on assumptions of how capital will be deployed to reach Spring's projections.

Table F1

Milestone	Goal	Explanation
1 Without the facility move Spring is capped at 1-1.2m revenue.	Facility Move 2026	Secure and operationalise a larger production site - nothing that follows is possible without it.
2 N.B. These milestones are set out by spring within the pitch deck. Milestones to follow are predictions on how Spring will reach projected goals based on the explained assumptions.	Independent Retail Expansion and D2C growth on Chilled products 2026	Spring already serves over 200 independents and reports a 63% year-on-year increase in retail listings. The 2026 plan continues that trajectory. D2C is the most margin-accretive route to the same customer.
3 Milestones 4,5,6 hinge on this	Ambient Process Capability Completed by 2027	Install and commission in-house ambient processing, advancing the MRL from 4 to 10, converting the

being completed. –carries an inherent risk.		ambient line from aspiration to production reality.
4 Visualised in more detail within the financial modelling.	Cost Improvements	The removal of cold chain dependency and the internalisation of previous outsourced processing is assumed to reduce per unit costs, improving the gross margins towards the 2029 target of 62%.
5 Risk note: Amazon listing is essentially guaranteed once the product is shelf stable, putting Spring into a channel already turning over £2m a year in Bone Broth sales. Success within it depends on the strength of marketing behind the launch.	E-commerce Expansion 2027 →	Enter distribution channels currently closed off by cold chain requirements, such as Amazon and mass-market ambient online retail, which will broaden the firm's obtainable market.
6 Risk Note: This milestone carries the majority of the risk. Mass retail listings are notoriously difficult to secure. If this milestone has been reached, Spring will likely be arriving at the conversation with the data expected by supermarkets, which softens, but does not remove, the risk on which the 2029 figure rests (Sawyer, 2018)	Mass Retail Listings 2028 →	The milestone that contributes most to the 2029 figure. By this point, ambient production and the scale of the business should sit at a level where mass-market retail contracts can be credibly fulfilled. The assumption underpinning the milestone is that Spring currently (2024/5) does not have the capacity to tender for such contracts, and will not for some time, with ambient processing being the route by which that capacity is reached.

Assumption

- The proposed 70% cost reduction is not an incremental efficiency, it is a shift to ambience as the dominant (but not only) form of processing.

Appendix G

Purpose: Experience of Spring's team

Table G1

Name	Role	Experience
Tom Pryor	Founder and Managing Director	20+ years in sales and marketing across Middle East, Africa, UK Previous companies: Mcalren

Diego Arroyo	Finance and Strategy	15+ years in investment and strategy Previous companies: Goldman Sacks, Blackstone, York Capital
Bryan Linn	Manufacturing and Technical	35+ years in the food industry, senior director level Previous companies: Billington Food, Geest, Joubert, Koncious Food
Lucie Hague	Commercial	25+ years FMCG commercial experience Previous companies: The Bay Tree, Freja broth.

Appendix H

Purpose: Full financial modelling to visualise gross margins post-investment

Table H1

Component	What it captures	% of COGS	Reasoning
Raw Materials	British grass-fed beef and chicken bones, fresh vegetables, seasoning.	30%	Spring defensibility rests on premium provenance, and small volume premium inputs warrant the largest share in costs.
Labour	Production kitchen wages: preparation, batching, filling, quality control.	25%	A semi-mechanised production kitchen and spring's current scale carries meaningful costs. 25% reflects the size and structure of the team currently in place against the revenue.
Energy	Gas and electricity for a long simmering process and water heating.	14%	Bone Broth is energy intensive. Long simmer times and large heated volumes are the dominant variables. Energy costs are clearly a concern for the company, hence the investment into larger cookers and a new gas supply.
Packaging	Premium glass bottles	11%	Glass is the most expensive substrate available in the category, and a deliberate choice by the brand to have a more premium edge over competitors. Therefore carries a larger share

			of unit costs than expected.
<i>Processing</i>	Refrigerated storage costs (needs to be refrigerated 247), depreciation on equipment and systems to manage chilled products to avoid waste.	20%	As of now, Spring only offers products which require refrigeration. While it may be true that their ambient line is operational; Ocado, M&S stores in Bath and their own website suggest a chilled focused processing line currently. Furthermore, it is assumed that one of the reasons why the company is shifting to ambience is the reduction in costs associated with chilled processing, and the extent of this reduction shows that this component deserves a high % of COGS.
<i>Total</i>		100%	

Anchor price: The blended retail price per litre is calculated from Spring's two product lines:

Bone Broth: $6 \times 1000\text{ml}$ at £104.94 = £17.49/L

Bone Broth -Soup: $6 \times 1000\text{ml}$ at £80.10 = £13.35/L

$17.49 + 13.35 = \textbf{£15.42/L}$

Two starting gross margin scenarios, 25% and 30%, are then applied. Both sit deliberately below the 40–60% consumer–food benchmark (Charter, 2026), reflecting the reality that Spring is currently loss-making and unlikely to be operating at the industry standard. The lower starting margins serve a second purpose. Even with the more conservative reductions this report applies, the model tests Spring's projection from a deliberately cautious base.

Table H2

Component	% of COGS	£/L (25% GM)	£/L (30% GM)	Post-invest. Change to COGS components	Justification
<i>Raw Materials</i>	30%	3.470	3.238	0%	-
<i>Labour</i>	25%	2.891	2.699	57% reduction	Larger cookers and bigger batches will genuinely raise output per labour hour, but a 100% increase in labour efficiency would be too aggressive in this scenario. A 75%

					productivity gain is the more honest and cautious figure to apply. Calculation: $1 / 1.75 = 0.57 \rightarrow 1 - 0.57$ shows labour reduction to current COGS component.
Energy	14%	1.619	1.511	57% reduction	More efficient cookers and the ability to batch cook given ambient processing will allow for real energy savings; longer runs and less re-heating. The report therefore agrees with the 57% reduction in energy costs. Calculation: $1 - 0.57 = 43\%$ reduction to current COGS component.
Packaging	11%	1.272	1.187	-	-
Processing	20%	2.313	2.159	65% reduction	Ambience is the logical structural step for the company moving forward (Appendix E as to why). The move away from the high costs of chilled processing leads this report to agree with the 70% reduction, bringing it down 65% to be cautious of overstatement calculation . $1 - 0.65 = 0.35$ to current COGS component.
Total	100%	11.565	10.794	-	-

Calculations

- $15.42 \times (1 - 0.25) = \text{£}11.565$ per litre
- $15.42 \times (1 - 0.30) = \text{£}10.794$ per litre

Table H2

Component	£/L reconstruction from 25% GM base	£/L reconstruction from 30% GM base
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Raw Materials	3.470	3.238
Labour	1.648	1.538
Energy	0.696	0.650
Packaging	1.272	1.187
Processing	0.810	0.756
New Cost/L	7.896	7.369
Reconstructed Gross Margin	49%	52%

Calculations

- *Justification **Calculation*** x old COGS component = COGS component after reductions
- New cost / L / selling price per l = Reconstructed gross margins

Appendix I

Purpose: Shows how current revenue is broken down, and estimates how Spring's revenue composition should look in order to reach 2029 targets.

Current Revenue Composition (2024, Estimated)

Table I1

Channel	Estimated Revenue	% of Total
Premium Retail (M&S, Ocado, Whole Foods, Fortnum & Mason)	£383,000	~45%
Independent Retailers (200+)	£298,000	~35%
Farmers Markets	£102,000	~12%
Direct-to-Consumer (Online)	£68,000	~8%
Total	£851,744	100%

Target Revenue Composition (2029, Required)

Table I2

Channel	Target Revenue	% of Total	Milestone Dependency
Mass-Market Supermarkets – Ambient (Tesco, Sainsbury's)	3,037,500	45%	Milestones - 6
Premium Retail – Existing + Ambient (M&S, Ocado, WFM, F&M)	1,282,500	19%	Milestone - 1
Large Independents	675,000	10%	Milestone - 1
E-Commerce / Amazon – Ambient	1,282,500	19%	Milestones - 5
Direct-to-Consumer	337,500	5%	Milestone - 2
Farmers Markets	202,500	3%	–
Total	~6,750,000	100%	

Assumptions

- 6,750,000 from pitch deck 2029 projection
- D2C and Larger independents are an early target for Spring
- Given the earlier stat, 80% of grocery sales comes for 6 stores, entry into the mass-market is imperative for revenue growth.
- Assumed that Freja and Borough's rapid revenue growth is partly attributable to positioning in these supermarkets.

Appendix J

Purpose: return on investment scenarios.

Revenue multiples: Anchored to UK food and beverage comparables. Sector median 1.5–1.7× (Mergers and Acquisitions Net, 2026); Premier Foods 1.6–1.7x, Cranswick 1.05x; beverages and wellness acquisitions 3.0–4.2x (Capstone Partners, 2025).

- Conservative — 1.0×. Spring fails to break out; closer to Cranswick than Premier Foods.
- Base — 1.6×. Spring executes reliably without full transformation; lower end of Premier Foods.
- Bullish — 2.0×. Spring reaches mass-retail; will therefore trade above sector median

Important distinction for analysis - VC benchmarks demand between 10-20x return multiples, and aim to exit the company within 5-7 years (CFA, 2022).

Calculations

Table J1

Scenario	2029 Revenue	Multiple	2029 exit	Required multiple	2024 PV
Conservative	£2.11m	1.0x	£2.11m	20x	£105,500
Base	£4.41m	1.6x	£7.06m	15x	£470,400
Bullish	£7.46m	2.0x	£14.92m	10x	£1,492,000

Calculations

- Exit value = 2029 revenue × revenue multiple.
- PV = exit value ÷ (required-return multiplier)

Investor Returns on 160,000 Crowdcube amount (6.04% stake)

Table J2

Scenario	Stake at exit	Pre-EIS Multiplier	EIS Multiplier	EIS IRR
Conservative	127,444	0.80x	1.14x	2.6%
Base	426,182	2.66x	3.81x	30.6%
Bullish	901,168	5.63x	8.05x	51.7%

Calculations

- Stake at exit = 2029 exit value × 6.04%
- Pre-EIS multiple = stake at exit ÷ £160,000
- EIS multiple = stake at exit ÷ £112,000 (net entry after 30% EIS relief)
- EIS IRR = $(\text{EIS multiple})^{1/5} - 1$.

Probability weighted returns Calculation

Figure J1

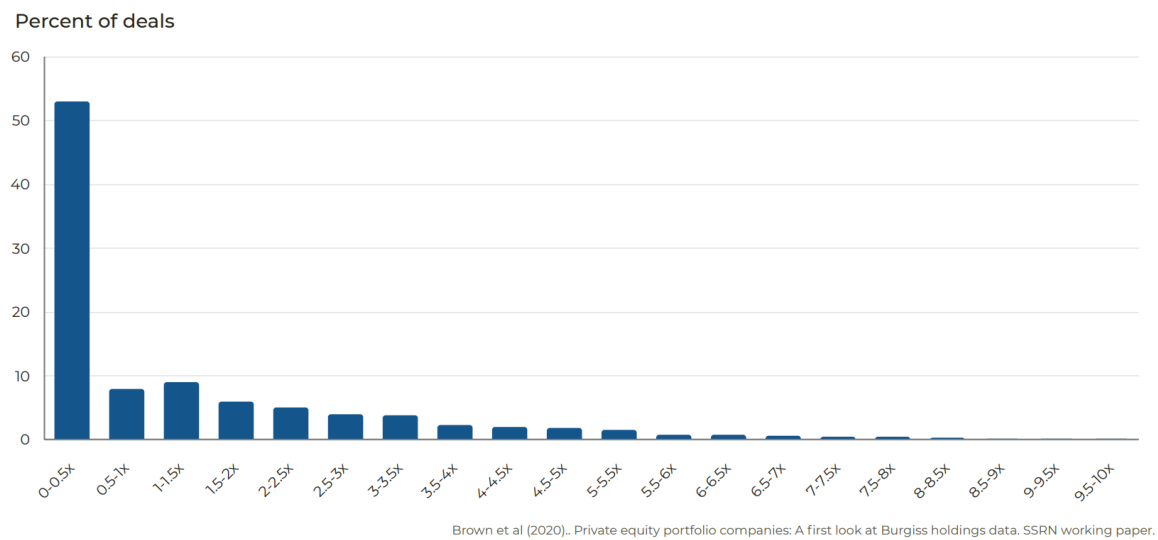


Table J3

Scenario	EIS Adjusted Multiple	Brown weighting	Contribution
Conservative	1.14x	55%	0.63x
Base	3.81x	15%	0.57x
Bullish	8.05x	10%	0.81x
Loss of Capital	0x	20%	0.00x
Weighted return		100%	2.01x

- 20% unrecovered capital is the reconciliation value, as previous numbers only added up to 80%, therefore, assumption is made that there is a 20% chance that capital is lost.
- Weighting anchored to the Figure J1

Appendix K

Purpose: Cap table after funding round, and a visualised scenario of a potential later dilution

	Shareholders	% of Shares	Price Per Share (£)	Value (£)	Stake
2024 Pre-Money	Thomos Pryor	83,333	18.07351	1,506,120	67.03%
	Diego Arroto Ornelas	36,569	18.07351	660,930	29.41%
	Other Shareholders	4,422	18.07351	79,921	3.56%
	Total	124,324	18.07351	2,246,971	100%
End of funding Post-Money	Thomos Pryor	83,333	18.07351	1,506,120	56.90%
400,000 raised	Diego Arroto Ornelas	36,569	18.07351	660,930	24.97%
	Other Shareholders	4,422	18.07351	79,921	3.02%
	Crowdcube Investors	8,853	18.07351	160,000	6.04%
	Rushtons	13,279	18.07351	240,000	9.07%
	Total	146,456	18.07351	2,646,971	100.00%
Possible Second Funding Round	Thomos Pryor	83,333	45.54	3,794,984.82	53%
500,000 raise	Diego Arroto Ornelas	36,569	45.54	1,665,352.26	23.23%
	Other	4,422	45.54	201,377.88	2.81%
	Rushtons	13,279	45.54	604,725.66	8.43%
	Crowdcube Investors	8,853	45.54	403,165.62	5.62%
	Investor (2)	10,980	45.54	500,029.20	6.97%
	Total	157,436	45.54	7,169,635	100.00%

1. Share price (Round 1): Pre-money valuation ÷ existing shares = share price
2. New shares issued: Raise amount ÷ share price = new shares
3. Value: Shares × share price = value
4. Stake: Shareholder shares ÷ total shares = stake %
5. Post-money valuation: Pre-money valuation + raise amount = post-money valuation
6. Share price (Round 2): Round 2 pre-money valuation ÷ shares outstanding before raise = new share price
7. Round 2 pre-money: Projected 2027 revenue × revenue multiple = pre-money valuation (illustrative only to show downside)